

Benefits Realisation

GLOSSARY 04 - SHEET 8 / 8

The management process ensuring that promised benefits are defined, owned and delivered

PROFESSIONAL DEFINITION

Benefits realisation management is the process of identifying, defining, planning, tracking and reviewing the benefits attributed to an investment, so that they are actually delivered rather than merely forecast. Each benefit must have a named owner outside the delivery team, a baseline measurement taken before the change, and a defined measurement point after it; benefits without all three are unverifiable claims (Ward and Daniel, 2012; Bradley, 2010).

WHO DEFINED IT ORIGINALLY

The benefits dependency network and the associated management process were developed by John Ward and Elizabeth Daniel at Cranfield School of Management, published as Benefits Management (2006; 2nd edn 2012). Gerald Bradley (2010) supplied a parallel practitioner treatment. The method is embedded in the UK Office of Government Commerce's Managing Successful Programmes.

WHY THIS DEFINITION WAS DEVELOPED

Business cases were produced to obtain approval and then archived, with no mechanism connecting forecast benefit to any subsequent measurement. Ward and Daniel argued that benefits arise from business change rather than from technology, and that the change producing each benefit must be identified and owned if the benefit is to occur at all.

HOW IT IS USED

Build the dependency network backwards from the intended benefit through the business changes required to produce it to the technology enabling those changes, and assign each benefit an owner in the business who is measured on it.

WHEN IT IS USED

At business-case approval, at every stage-gate, at a defined post-implementation review, and at the point where an AI system is declared complete by the delivery team.

BY WHOM IT IS USED

Benefits owners in the operating business, programme and portfolio offices, finance functions validating claimed benefits, and executive sponsors accountable for the investment.

FIGURE 1 - THE BENEFITS DEPENDENCY NETWORK

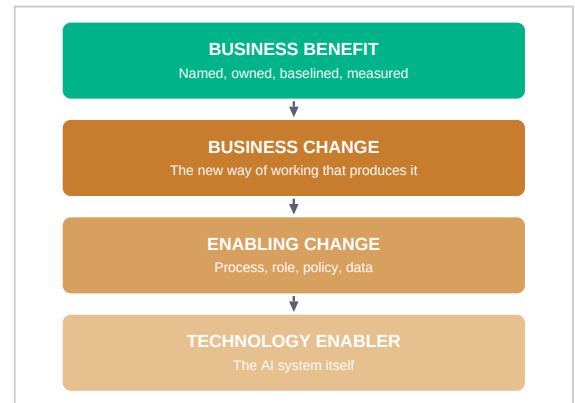


Figure 1. The network is built from the top downward and delivered from the bottom upward. Reading it downward from the benefit exposes business changes that nobody has agreed to make, which is where forecast benefits are lost (after Ward and Daniel, 2012).

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

The predecessor instrument was the business case, prepared once for approval, with no owner after the funding decision and no measurement discipline. Benefits realisation makes the benefit an object with a lifecycle, an owner and a baseline, and its dependency network reverses the usual logic: it starts from the benefit and derives the technology, rather than starting from the technology and asserting benefits. For AI investments, where benefit claims are frequently generic, this is the difference between a forecast and a commitment.

RELATED DEFINITIONS IN THIS COURSE

[AI Adoption - Unit 4](#)
[AI Portfolio Management - Unit 3](#)
[Proof of Concept and Pilot Purgatory - Unit 4](#)
[AI Roadmap - Unit 4](#)
[Externality - Unit 5](#)

SOURCES (HARVARD REFERENCING STYLE)

Bradley, G. (2010) Benefit Realisation Management: A Practical Guide to Achieving Benefits Through Change. 2nd edn. Farnham: Gower.

Ward, J. and Daniel, E. (2012) Benefits Management: How to Increase the Business Value of Your IT Projects. 2nd edn. Chichester: John Wiley & Sons.

Office of Government Commerce (2011) Managing Successful Programmes. 4th edn. London: The Stationery Office.